

How Does the FCCPC Decide What Your "Market" Actually Is?

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Almost every competition law question in Nigeria — is an undertaking dominant, does an agreement restrict competition, would a merger reduce competition — starts with the same preliminary question: what is the relevant market? Get the boundary wrong, and a business can look far more (or far less) powerful than it actually is. The FCCPC's Notice on Market Definition, issued under Section 71 of the FCCPA, sets out the methodology the Commission uses to answer that question.

Why Market Definition Comes First

Defining a market is not an end in itself — it exists to make later competition analysis possible. By identifying which products and which suppliers genuinely constrain an undertaking's behaviour, market definition lets the Commission (and businesses themselves) assess whether a firm can act independently of competitive pressure. The Commission has also framed this as a transparency exercise: by publishing its methodology, it allows businesses and their advisers to anticipate how a proposed joint venture, agreement, or business practice is likely to be assessed before they commit to it.

Two Dimensions: Product and Geography

The relevant market has two components. The product market comprises all goods or services that consumers regard as interchangeable, based on characteristics, price, brand, and intended use. The geographic market is defined by the location of suppliers that customers would realistically treat as substitutes — which may be as narrow as a single state or as broad as a market that transcends Nigeria's borders, depending on the product.

Three sources of competitive constraint are relevant to how a market is drawn: demand substitutability (would customers switch to another product if prices rose?), supply substitutability (could other suppliers easily start producing the substitute?), and potential competition. Notably, potential competition — the threat of a new entrant — is deliberately left out of the market definition exercise itself; it only comes into play later, once dominance or market power within the already-defined market is being assessed.

The SSNIP Test

The Commission's standard tool for testing a proposed market definition is the SSNIP test — Small but Significant Non-transitory Increase in Price. The question it asks is simple: if all suppliers within the proposed market raised prices by around 5–10%, would enough customers switch away (to another product or to suppliers outside the proposed market) to make that price increase unprofitable? If so, the proposed market is too narrowly drawn and needs to be widened to include those alternatives.

What Evidence the Commission Actually Looks At

For the product dimension, the Commission draws on: evidence of actual past substitution (for instance, what happened to sales of an existing product when a close substitute launched); the views of customers and competitors gathered directly; consumer survey and purchasing-pattern data; the practical barriers and costs that might prevent switching (regulatory hurdles, retooling costs, reputational uncertainty about new suppliers); and whether distinct customer segments exist that would justify a narrower market.

For the geographic dimension, relevant evidence includes historical instances of orders shifting between regions in response to price changes, the underlying demand characteristics (language, culture, need for local presence), the views of customers and competitors on the geographic boundaries of competition, and

current purchasing patterns — for example, whether customers already source competitively from suppliers located anywhere in the country.

Not every case requires evidence on every one of these factors; in practice, a subset is usually sufficient to reach a workable conclusion, and the Commission takes an open, fact-driven approach rather than applying a rigid checklist.

The Practical Takeaway

Because market definition sits upstream of nearly every other competition law question, it is often the most cost-effective place to focus early analysis — whether a business is assessing its own exposure to a dominance finding, structuring a joint venture, or considering a proposed merger. A market drawn too narrowly can make an entirely ordinary business look artificially dominant.

A note on currency of the law

The Notice on Market Definition was finalised in 2022 and remains the Commission's operative methodology; no material amendments have been made to the definitions or the SSNIP-based approach described here. It continues to be cross-referenced as the governing methodology in the FCCPC's more recent regulatory instruments, including the 2026 exposure drafts discussed elsewhere in this series.

One gap worth flagging: the Notice does not currently specify any requirement for the qualifications or composition of experts engaged in market definition inquiries, which can leave some uncertainty as to the standard of economic evidence the Commission expects in contested cases.

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